EDU 6203
LESSON 2 :Key Theories of Administration and Management

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Introduction to Administration Theories

In this presentation, we will explore the **foundations** of administration and management. Understanding these **key theories** is essential for effective leadership and organizational success. We will examine the evolution of these theories and their relevance in today's dynamic organizational environment.

DEFINITION OF TERMS

1. Administration: is the process or activity of running a business, organization. It is the management of public affairs; government.

2. Administrative Management theory is used to establish structure, division of labor and proper authority in the most efficient way possible within an organization with a clear division of labor, and delegation of power and authority to administrators relevant to their areas of responsibilities all with the aim of achieving a common goal.

ORIGINS

Henri Fayol (1841-1925)

- Fayol focused on organization and structure of work tasks: How management and workers are organized within a business to allow for the completion of task.
- Creation of work groups and functional departments where distinct activities are performed.
- Top-down approach to organizational efficiency: Effective organization of management would ultimately have an effect on the productivity of operational-level workers.

Scientific Management Theory

The scientific management theory focused on improving the efficiency of each individual in the organization with an emphasis is on increasing the production through the use of intensive Technology.

Human beings are considered as aids to machines in the performance of routine tasks on a production floor with much emphasis being put on machines and automation and not on human behavior.

Nature of work performed

- Repetitive in nature
- Individual workers are divided into a large number of cyclical repetition of same or closely related activities
- Activities do not require the individual worker to exercise complex-problem solving activity.
- Attention is required to be imposed on the standardization of working

Principles of Scientific Management

- Separate planning from doing.
- The functional foremanship of supervision, i.e. Eight supervisors required to give directions and instructions in their respective fields.
- Time, motion and fatigue studies shall be used to determine the fair amount of work done by each individual worker.
- Improving the working conditions and standardizing the tools, period of work and cost of production.
- Proper scientific selection and training of workmen should be done.
- The financial incentives should be given to the workers to boost their productivity and motivate them to perform well

Classical Management Theory

The Classical Theory is the traditional theory, wherein more emphasis is on the organization rather than the employees working therein. According to the classical theory, the organization is considered as a machine and the human beings as different components/parts of that machine.

Characteristics Classical Management Theory

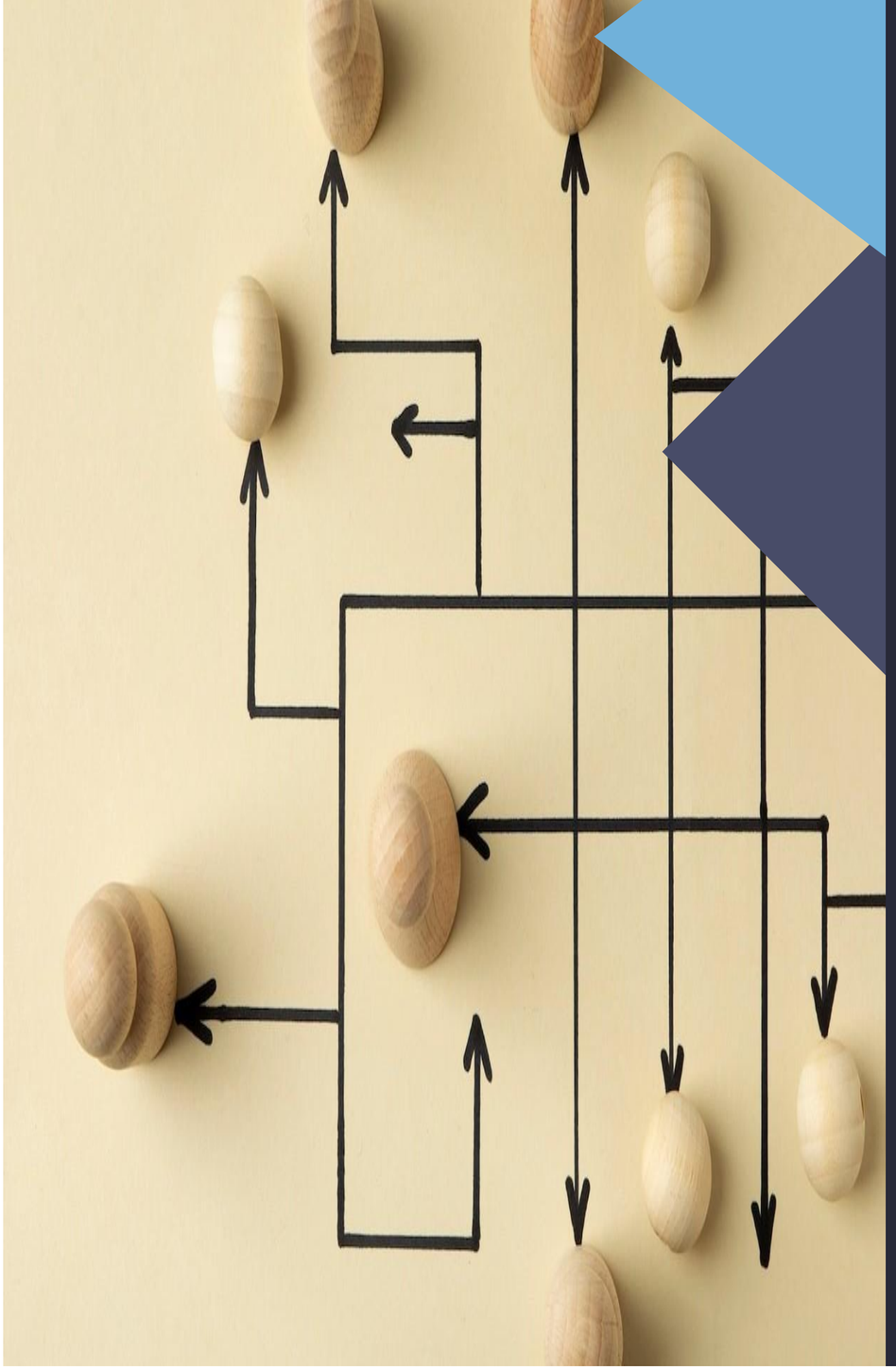
- It is built on an accounting model
- It lays emphasis on detecting errors and correcting them once they have been committed.
- It is more concerned with the amount of output than the human beings.
- The human beings are considered to be relatively similar and unmodifiable. Thus, labor is not divided on the basis of different kinds of jobs to be performed in an organization.
- It is assumed that employees are relatively stable in terms of the change, in an organization.
- It is assumed that the authority and control should be vested with the central authority only, in order to have a centralized and integrated system.
- Two distinct streams namely scientific Management Stream (tech aspect of organization) and Administrative Management Stream(individual made more efficient)

Neo classical Theory

This theory arose due to the limitations of classical theories. It sought to identify the reasons for human behavior at work.
It is also referred to as “behavioral theory of organization” or “human relations” approach in organizations.

Main ideas:

- An organization is the combination of both the formal and informal forms of organization
- An individual is diversely motivated and wants to fulfill certain needs.
- Communication is an important yardstick to measure the efficiency of the information being transmitted from and to different levels of the organization
- Teamwork is the prerequisite for the sound functioning of the organization, and this can be achieved only through a behavioral approach.
- Satisfied employees lead to improved productivity



Organizational Theory

The term organization refers to the group of individuals who come together to perform a set of tasks with the intent to accomplish the common objectives.

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Main ideas

- The organization is based on the concept of synergy, which means, a group can do more work than an individual working alone.
- It refers to the set of interrelated concepts, definitions that explain the behavior of individuals or groups or subgroups, who interacts with each other to perform the activities intended towards the accomplishment of a common goal.
- Shows the effect of social relationships between the organization as a whole.
- it studies the effects of internal and external business environment such as political, legal, cultural, etc. on the organization.

Bureaucratic Theory (Max Weber 1864-1920)

A bureaucratic organization is one that has a hierarchy of authority, specialized work force, standardized principles, rules and regulations, trained administrative personnel, etc

Main ideas

- Organizational structure that is characterized by many rules, standardized processes, procedures and requirements, number of desks, meticulous division of labour and responsibility, clear hierarchies and professional
- Impersonal: The performance of an individual is judged through rule-based activity and the promotions are decided on the basis of one's merits and performance.
- There is a hierarchy in the organization, which represents the clear lines of authority that enable an individual to know his immediate supervisor to whom he is directly accountable.

Purpose of Administrative Management Theory

- To find a good balance between the structure of the administration and the mission of the organization
- To improve administrative efficiency by defining lines of authority with those at the top of administration having the most responsibility for the organization.
- To divide organizations into departments with a clear separation of labor and administrators with the most responsibilities serving as organizational authority figures

Administrative Management Theorists

Henri Fayol's Theory of General Management

He developed his idea of establishing the first general theory of management as a result of his belief that it was essential for managers to have a set of principles to guide their management.
He developed his ideas when public and private institutions were growing, which led to a need for management positions.

Components of the General Management Theory

- Organizational activities
- Management functions
- Administrative principles
- Methods of pitting principles together

Theory of General Management

Functions of management

1. **Planning:** Predict future events/trends that could influence the organization and utilizing this information to impact the organization's action plan.
2. **Organizing:** Incorporates both material and human structural components. It involves aspects such as establishing a hierarchy or authority and dividing tasks among workers.
3. **Commanding:** Providing direction to the organization to emphasize organizational objectives by for e.g. communicating goals and discharging workers who are incompetent.
4. **Coordinating:** Unifying and harmonizing all activity and effort. This means that every worker is assigned a task, every area has a specific function, and the contributions of each individual and unit work together to meet the objectives of the organization.
5. **Controlling:** Ensuring that conformity is present in relation to established plans, rules, schedules, and directives.

Theory of General Management

Administrative Principles

1. **Division of work**: That is to produce more and better work with the same effort.
2. **Authority:** the right to give orders and the power to exact obedience.
3. **Discipline:** “In essence, obedience, application, energy, behavior and outward marks of respect observed in accordance with standing agreements between the firm and its employers.
4. **Unity of command**:“An employee should receive orders from one superior only”.
5. **Unity of direction**:“one head and one plan for a group of activities having the same objective”.
6. **Subordination of individual interest to general interest:**“calls to mind the fact that in a business, the interest of one employee or group of employees should not prevail over that of the concern”.
7. **Remuneration of Personnel:**“the price of services rendered”.

Theory of General Management

Administrative Principles

8. **Centralization:** “Like division of work…belongs to the natural order”.
9. **Scalar chain:** “the chain of superiors ranging from the ultimate authority to the lowest ranks”
10. **Order:** “a place for everything and everything in its place”
11. **Equity:** “the combination of justice and kindliness”
12. **Stability of tenure of personnel:“** Personnel planning, management development, and labour turnover”
13. **Initiative:“** power to conceive a plan and ensure its success”.
14. **Esprit de corps:** “building and maintain of harmony among the workforce”.

Theory of Organization

James D. Mooney and Alan C. Reiley's

They created three universal principles: coordinative, scalar, and functional.

The coordinative principle or master principle

involves an organization coordinating the tasks of multiple workers in order to accomplish their organizational objectives. Authority figures should be responsible for coordinating power by managing formal authority up and down the chain of command.

Theory of Organization

James D. Mooney and Alan C. Reiley's

The scalar principle or the principle of hierarchy

Tasks are assigned based on levels of authority arranged vertically in the organization. This is created by delegating authority from a higher officials to a lower officials. The subordinate is always responsible to his immediate supervisor for doing the job, the superior remains responsible for getting it done, and this same relationship, based on coordinated responsibility, is repeated up to the top leader, whose authority makes him responsible for the whole.

Theory of Organization

James D. Mooney and Alan C. Reiley's

The Functional Principle

- Focuses on horizontal differences based on types of tasks
- It identifies the method of each individual's work duties and how they contribute to the organization's goals.
- Functional differentiation is the line and staff principle: refers to the creation of staff units to advise or support line authorities in the performance of their duties and that staff units should not be delegated to command authority over line units.

Administrative Management Theory

Luther H. Gulick (1892-1993)

Aim: To reform the government structure and utilize business methods in public administration.

Main ideas

- Government agencies could be departmentalized based on the process, individuals, place, or purpose.
- Chief executives should implementing closer supervision over administrative departments than the heads of holding companies.
- Need for coordination due to a greater level of interaction between government departments than between corporate divisions by using functional and scalar principles.
- All organizations should divide labor no matter what their size or level of complexity.

Administrative Management Theory

Luther H. Gulick (1892-1993)

Main ideas

- Departmentalization, which describes the scalar principle
- Organization chart demonstrating the level of control each manager has and describes reporting within the organizational hierarchy.

Administrative Management Theory

Luther H. Gulick (1892-1993)

Guiding principles

The span of control principle states: The number of individuals reporting to a superior should be limited to the number he or she can supervise effectively, given limited time and energy.

Unity of command principle: which is when each worker takes orders from one superior

Homogeneity principle: which states that work should be divided so that the work of a single organizational unit is as homogeneous in character as possible

Line staff principle: however, he disagreed with the traditional definition that staff agencies are made to guide line agencies and are never allowed to give commands.

Bureaucratic management principles

Max Weber

1. **Task specialization**: Tasks are divided into simple, routine categories on the basis of competencies and functional specialisations.
2. **Hierarchical of** authority: Managers are organised into hierarchical layers, where each layer of management is responsible for its staff and overall performance.
3. **Formal selection**: All employees are selected on the basis of technical skills and competences, which have been acquired through training, education and experience
4. **Rules and requirements:** Formal rules and requirements are required to ensure uniformity, so that employees know exactly what is expected of them.
5. **Impersonal:** Regulations and clear requirements create distant and impersonal relationships between employees.
6. **Career orientation:** Employees of a bureaucratic organisation are selected on the basis of their expertise.

Advantages and disadvantages of the Bureaucratic Theory

Advantages

- Large organisations with many hierarchical layers can become structured and work effectively
- Established rules and procedures allow for high efficiency and consistent execution of work by all employees.
- Management finds it easier to maintain control and make adjustments when necessary

Disadvantages

- Maze of procedures and paperwork can hinder swift decision-making.
- Dehumanization, emphasizing impersonal relationships, can sometimes make individuals feel undervalued.
- Resistance to innovation.
- Excessive bureaucracy can result in complex and time-consuming processes, delaying decision-making and hindering efficiency.
- Bureaucratic systems can discourage individual initiative and creativity.

Thanks!